

EURONET SERVICES INC. AND SUBSIDIARIES

Consolidated Statements of Cash Flows

	Year Ended December 31,		
	2000	1999	1998
	(in thousands)		
Net cash used in operating activities (note 21)	\$(16,357)	\$(20,371)	\$(22,768)
Cash flows from investing activities:			
Fixed asset purchases	(3,428)	(8,685)	(9,740)
Proceeds from sale of fixed assets	706	3,742	543
Purchase of investment securities	—	(5,373)	(29,778)
Proceeds from maturity of investment securities	—	7,772	58,789
Investment in subsidiaries, net of cash acquired	—	(7,316)	(17,338)
Net increase/(decrease) in loan receivable	(13)	28	(8)
Net cash (used in)/provided by investing activities	(2,735)	(9,832)	2,468
Cash flows from financing activities:			
Proceeds from the sale and leaseback of fixed assets	—	827	—
Proceeds from issuance of shares and other capital contributions	13,889	610	178
Proceeds from issuance of notes payable and warrants	378	—	83,100
Costs to obtain loans	—	(22)	(3,294)
Repurchase of notes payable and warrants	—	(5,202)	(5,473)
Repayment of obligations under capital leases	(3,677)	(5,660)	(7,323)
Increase/(decrease) in short-term bank borrowings	192	(300)	142
(Increase)/decrease in subscriptions receivable	(9)	—	203
Cash loaned to employees for purchase of common stock	233	(794)	—
Net cash provided by/(used in) financing activities	(11,006)	(10,541)	67,533
Effect of exchange differences on cash	200	167	865
Net (decrease)/increase in cash and cash equivalents	(7,886)	(40,577)	48,098
Cash and cash equivalents at beginning of period	15,037	55,614	7,516
Cash and cash equivalents at end of period	\$ 7,151	\$ 15,037	\$ 55,614
Supplemental disclosures of cash flow information (note 22):			
Interest paid during year	\$ 2,076	\$ 1,133	\$ 1,907
Income taxes refunded during year	\$ —	\$ 839	\$ —

See accompanying notes to consolidated financial statements.

NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS FOR THE YEARS ENDED DECEMBER 31, 2000, 1999 AND 1998

(1) Organization

Euronet Services Inc. was established as a Delaware corporation on December 13, 1997 and capitalized on March 6, 1998. Euronet Services Inc. succeeded Euronet Holding N.V. as the group holding company.

Euronet Services Inc. and its subsidiaries (the “Company” or “Euronet”) is a provider of electronic financial solutions and transaction processing services to banks, financial institutions, and other companies. Euronet operates an automated teller machine (“ATM”) network in Europe and the U.S., which serves banks and retail companies by accepting most international bankcards and proprietary cards issued by member banks. Some of the ATMs also perform certain deposit, sales or advertising functions. Euronet also provides ATM network management outsourcing services to banks or companies with their own networks. Euronet sells integrated software solutions for electronic payment and financial transaction delivery systems worldwide. Its software comprises a suite of products including a core system, Integrated Transaction Management (“ITM”), and compatible modular software for ATM and POS network processing, electronic funds transfer interfaces, electronic funds transfer switch control, credit/debit card management and processing, and corporate cash management and personal financial management access products.